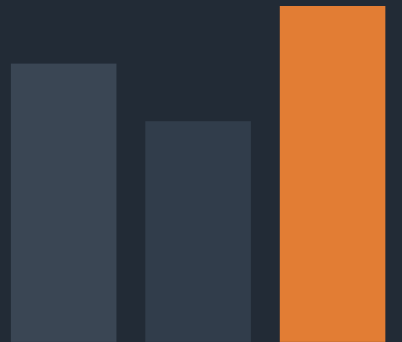
CASE ANALYSIS · DIGITAL TRANSFORMATION & CHANGE MANAGEMENT

Digital Transformation at Tata Steel

How a 115-year-old steelmaker rebuilt itself, and the one platform decision that now puts its best asset at risk.

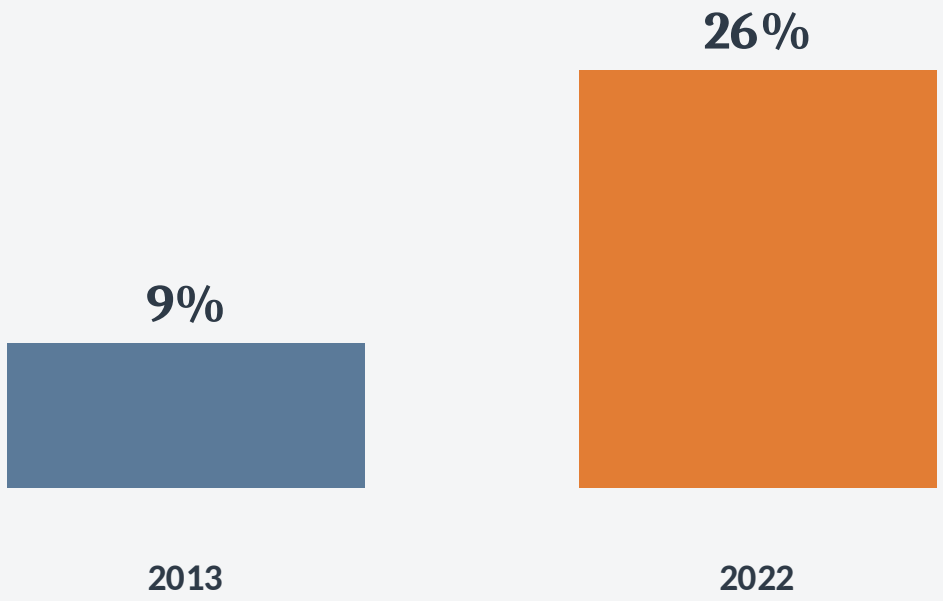


THE SITUATION · MAY 2022

First, a decade of repair, now finished

Since 2013 the CEO has rebuilt the balance sheet and the plants. The result is India's largest steel producer and a global WEF Lighthouse.

EBITDA MARGIN



nearly 3x, from 9% to 26%

NET DEBT-TO-EQUITY

1.8 → 0.5

5-YEAR STOCK RETURN

Tata Steel +191%
Nifty Metal +113%

With the base fixed, the CEO turns to the customer.

THE COMPLICATION

But most of what Tata did was not transformation

DIGITIZE

Medium changes, not the work

Paper records → digital files

The entire plant programme sits on this rung

DIGITALIZE

The process is redesigned

Defect-spotting AI, predictive maintenance

Only Aashiyana reaches this rung

TRANSFORM

The business model changes

Selling steel direct to homeowners

"Process improvement is not digital transformation. Digital transformation is business transformation."

THE TWO TRACKS

Two very different engines ran at the same time

A

INSIDE THE PLANTS · DIGITALIZATION

Defect-spotting AI, predictive maintenance and demand forecasting. Real gains, but better steelmaking is still the same business.

850+

projects · $2B target

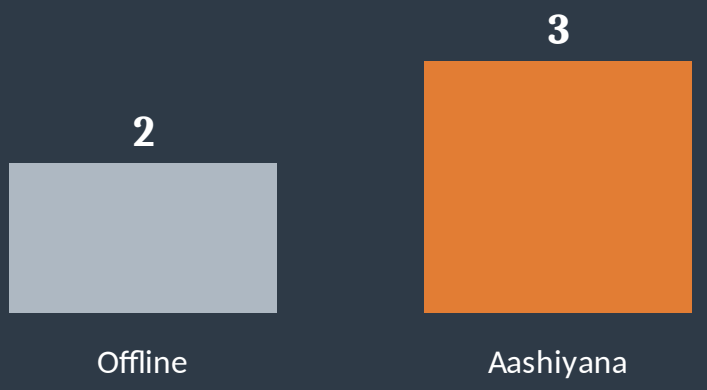
B

AT THE CUSTOMER · A NEW BUSINESS MODEL

Aashiyana took Tata from B2B to B2C: rebar sold by the piece, online, direct to half a million homeowners.

The only true transformation in the case.

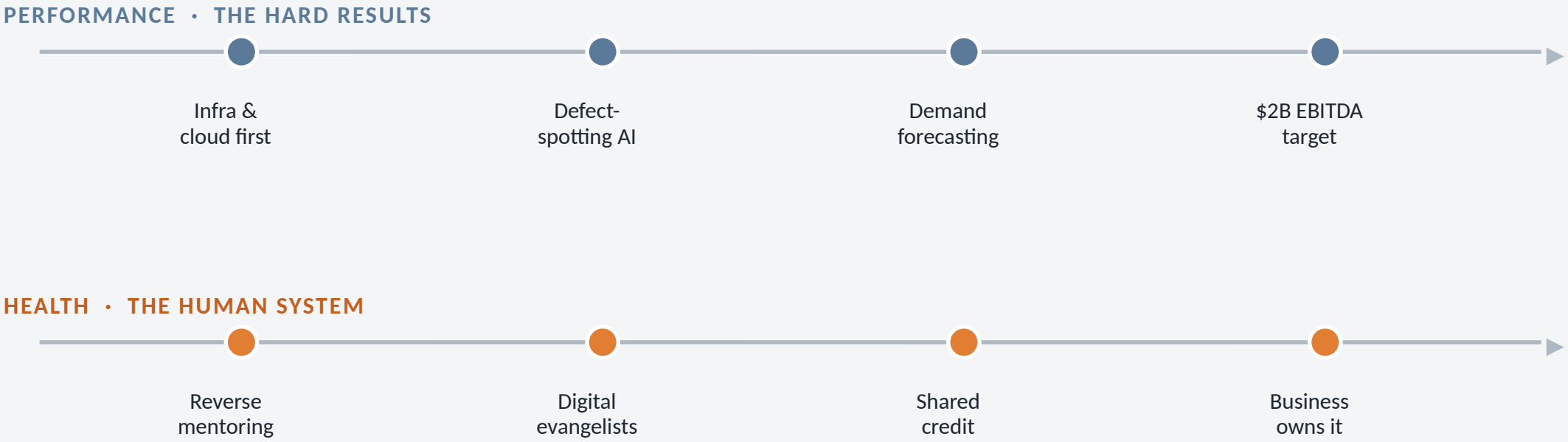
AVG BASKET PER CUSTOMER (TONNES)



WHY IT HELD

It worked because performance and people advanced together

Roughly 70% of digital programmes stall. Tata's held because the hard results and the human belief were built on parallel tracks, not one after the other.



The method was discovery-driven: think big, start small, scale fast. Ideas were staged from D0 to D4 and funded only as they proved out.

THE HUMAN ENGINE

The real unlock was defusing the fear of being replaced

Every automation threatened someone's job. Adoption only moved once workers believed the technology was on their side.

THE FEAR

"The system will take my job"

Plant operators resisted the new inspection AI.

→

THE REFRAME

"Assisted AI — you still decide"

The operator keeps the call; AI just flags defects earlier.

→

THE RESULT

"Give us more of it"

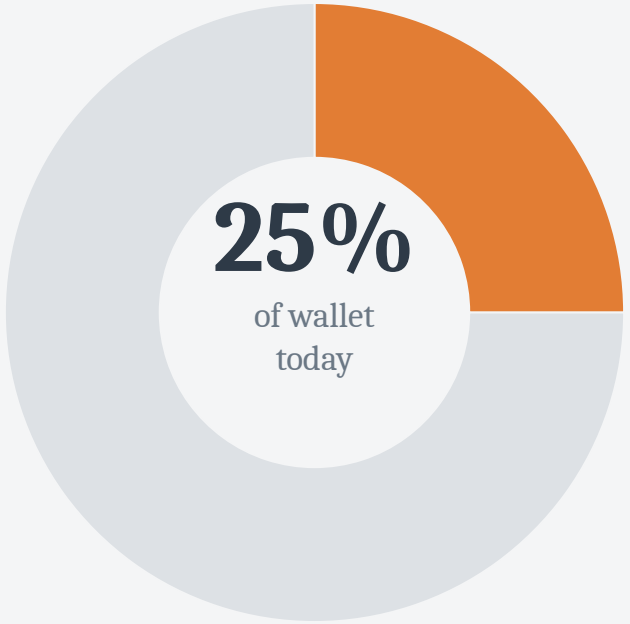
Error counts fell. Unions asked for more digital tools.

Reinforced by reverse mentoring, shared credit for wins, and showcasing early adopters.

THE QUESTION

How far should Aashiyana go?

The platform started with steel bars. The proposal now: open it to non-Tata products (cement, paint, tiles, fittings) and chase the whole customer wallet. This is a business-model bet.



→ target 100%

THE FORK

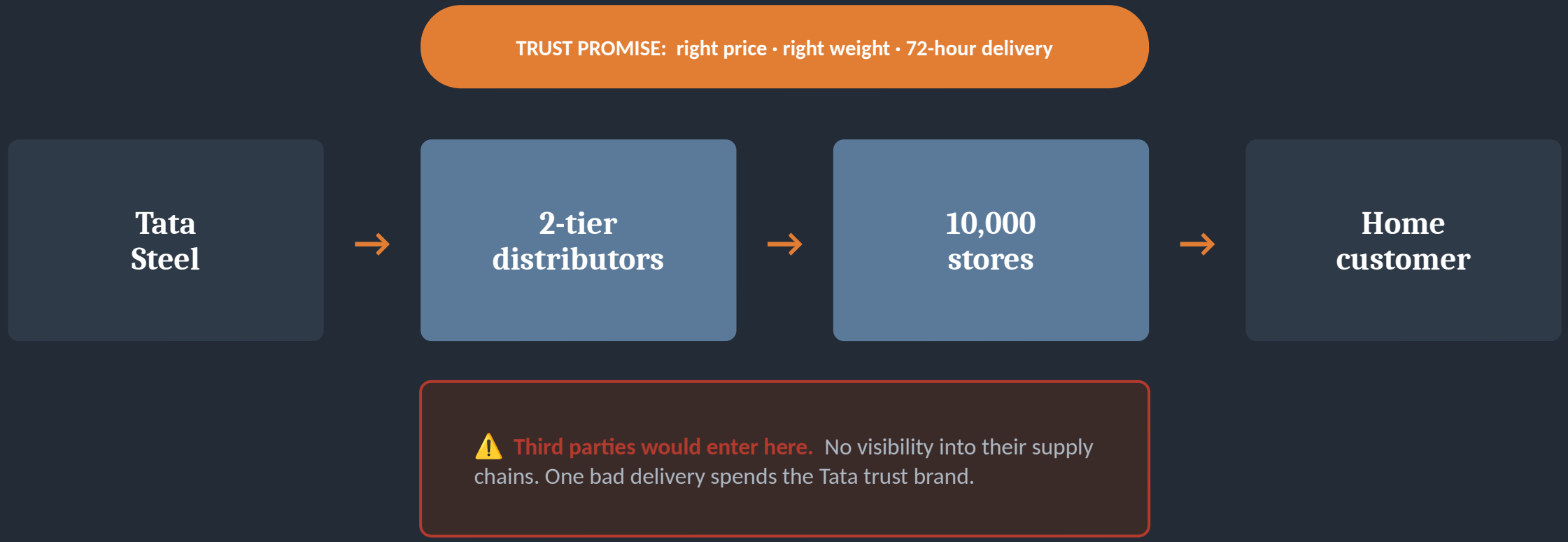
Open the platform

Wallet share climbs. But control of the customer experience falls, and third-party supply chains are invisible.

Keep it closed

The trust promise stays intact. But Tata cedes the wider home-construction market to a future aggregator.

The real asset is a trust engine rivals cannot copy



Rivals can copy packaging, branding and pricing. They cannot copy this distribution engine.

RECOMMENDATION

Earn the platform in stages, do not bet the farm

A failed open marketplace would spend two decades of distribution trust. Move like an incumbent: learn the way in through low-cost, reversible steps.

PHASE 1 · NOW

Open to Tata Group products

Voltas, Croma, Tata Capital, Tata AIG. Soft control and price parity keep it low-risk. Tests the one-stop-shop idea.

→

PHASE 2 · ONLY ON PROOF

Open to outside partners

Through a separate, ring-fenced venture. Hard service rules, starting with the lowest-risk categories only.

FOUNDATION, THROUGHOUT: distributors remain the delivery backbone. They are the moat, and Aashiyana already turned disintermediation into a strength by routing every order through them.

Track each step on: repeat rate · complaint rate · on-time delivery · margin per customer.

THE TAKEAWAY

Hold Tata Steel to its own rule.

"Think big, start small, scale fast" built the plants and Aashiyana. The same discipline answers the platform question: reach for the wallet in stages, and capture the upside without spending the trust that makes Aashiyana work in the first place.

Technology serves the business. Not the other way around.